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GNIOT Institute of Management Studies – PGDM (Batch 2022-24)
(TRIMESTER – I) END TERM EXAMINATION, SEPTEMBER - 2022
ECONOMICS FOR MANAGERS

[Time: 2 Hours 30 Minutes]

[Maximum Marks: 100]

INSTRUCTIONS:

- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.

SECTION-A

(Short Answer Type Questions, do not exceed 100 words)

Q.1. Attempt all parts of the following:

(10×3=30)

- (a) Explain the various method of demand forecasting.
- (b) What is demand? Why Demand curve slopes downwards from lefts to right?
- (c) What is law of supply? Show graphically the market equilibrium price and quantities with the help of demand and supply curve.
- (d) What is marginal analysis? How is it different from incremental analysis?
- (e) Explain the practical implications of advertising elasticity of demand.
- (f) Distinguish between micro and macroeconomics.
- (g) What is price discrimination? When is it possible and profitable?
- (h) Explain the role of fiscal policy in economic development.
- (i) What is monetary policy? Explain the general objective of monetary policy?
- (j) Explain the term psychological pricing with the help of example.

SECTION-B

(Long Answer Type Questions)

Attempt all questions of the following:

(4×10=40)

Q.2. (a) What is perfect competition? Explain how equilibrium price is determined under perfect competition.

OR

(b)) Difference between price elasticity of demand and income elasticity of demand. Why do public utility services have low price and income elasticity of demand?

Q.3. (a) Explain price and output determination under monopolistic completion in the short and long run?

OR

(b) Distinguish between fixed and variable costs. Explain the shapes of the average fixed cost curves, average variable cost curve and the marginal cost curve?

Q.4. (a) Discuss various phases of 'Business Cycle'. What are the steps a businessman may take to safeguard against the evil effects on business?

OR

(b) Explain the law of variable proportion with the help of diagram.

Q.5. (a).What is circular flow of income? What are the methods of National Income Measurement?

OR

(b) Explain the short run equilibrium determination under different cost condition under Monopoly.

SECTION-C

Q.6. Attempt all parts of the following:

(2×15=30)

Aura Ltd, named after Mr. Brown's wife, is a small company in the business of production and mail order distribution of collage books. The marketing division is looked after by Aura herself, while administration and accounts is taken care of by Aura herself, while administration and accounts is taken care of by Aura's husband Dan, along with their sons Michel and Ron. The trio found that the typical course book for humanities and commerce followed the same costing pattern. Ron presented to his father the fixed cost of production (for 1,000 books) for a standard humanities or commerce book. According to him, book-presenting cost was about Rs.2,00,000 the cost of preparation of the manual and typesetting about Rs.65,000, while the advertising cost was about 20,000. Michael on the other hand presented detailed breakup of the variable cost (per Book). He found that there were mainly three types of costs involved – material cost, cost of handling and postage. While the first was approximately Rs.20, the second one has half to it and the third component of the variable cost was same as the first component. In a lot, there were about 1,000 printed books. Beyond that, production unit tended to have a decreasing returns scale with a '20 per cent effect'. So Dan generally preferred to print 1,000 books every time Aura's on the other hand, had supplied information that an average of Rs.400 per book would keep the price quite competitive. The family assumed that they would make a profit with the above-mentioned price and given the cost situation.

6(a). Provide a detailed break-up of variable and fixed cost involved in business of production?

6(b). What do you understand by '20 per cent effect' of decreasing returns of scale? What are the various causes of having decreasing returns to scale?